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January 27 2026
**Technology Hardware**
Taiwan

# EZconn

#Initiation #AI #Hardware

**Buy**

Initiation

Price: **NTD 1,300** | Target Price: **NTD 3,000** | Upside: **131%** | Total return: **135%** | Risk: High


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**MARKET DATA**

| | |
|---|---|
| Bloomberg | 6442 TT |
| RIC | 6442.TW |
| Market cap (USDbn) | 3.4 |
| Average daily T/O (USD\|m) | 160 |

## Hi there, Google!

**We initiate coverage of EZconn with a BUY, target price TWD3,000, based on 25x FY27E PER. With 90% of revenue coming from Google, we believe EZconn is the best and purest proxy for Google's rapid AI hardware infrastructure and datacenter growth. EZconn is a key supplier of optical cables which are instrumental for connecting the 9,216 TPUs in the Ironwood Superpod – the most cost efficient and one of most advanced large scale AI servers. The optical cable is used for Ethernet switch-to-OCS as well as OCS-to-OCS in the Superpod. We estimate the demand for optical cables may double from 2026-2028, driven by higher TPU volume and the upgrade of 800Gbps switch from 400Gbps. We estimate EZconn revenue will grow 3x from FY25E to FY27E, with earnings expanding 5-fold in the same period, making it one of the fastest growing suppliers in TPU supply chain, if not the entire AI supply chain globally. Strong execution and consistent yield are EZconn's strength. Risks to our call include single client exposure, execution of new products and potential competition.**

### Significant exposure to Google

We estimate that Google accounts for 90% of sales; EZconn supplies optical cable related product, including Torpedo cable and patch panel, to Google's datacenters. EZconn has collaborated with Google since 2021, with volume shipment beginning in 2022. Although optical-cable assembly is not a technically complex product, achieving high manufacturing yield is a major challenge. EZconn's high yield consistency and stable quality performance represent critical advantages that will remain key factors supporting recurring future orders.

### Two Key Growth Drivers

We identify two key growth drivers for EZconn: 1) the transition from 400Gbps to 800 Gbps switches, which will accelerate demand for ultra-high density optical cable format; 2) Google's increasing deployment of TPU based AI servers with significant networking connectivity needs. These two drivers will substantially expand EZconn's optical cable market opportunity.

### 5x growth in profit in two years

We forecast 79% top line growth for EZconn in 2026 and 80% in 2027. Although gross margin could see more limited upside, operating leverage will boost the company's operating profit to grow by 5x from NT$2.5bn in 2025 to NT$12.4bn in 2027. We forecast net profit to rise from NT$1.7bn to NT$9.2bn over the same period and EPS to rise by 5x from NT$22 in 2025 to NT$116 in 2027 (even accounting for the upcoming convertible bond issuance and share swap). Our target price of NT$3,000 is based on 25x 2027 PER. We have used a lower target multiple compared to other Google plays or networking companies on account of the large customer concentration.

**KEY FINANCIALS AND VALUATION**

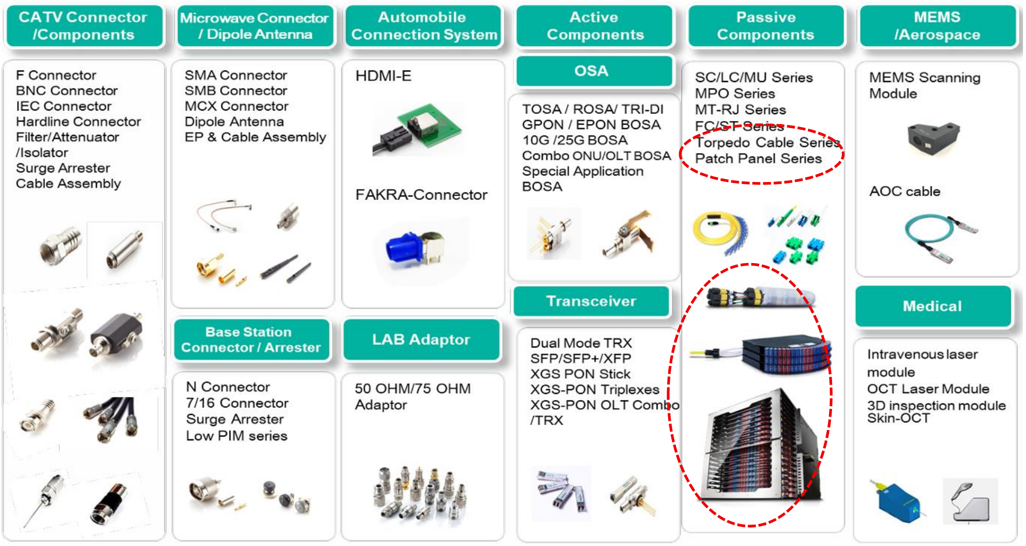
| Dec 31 (TWD mn) | 2021 | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|
| Revenue | 2,813 | 2,940 | 2,617 | 6,410 | 10,530 | 18,832 | 33,875 |
| Op Profit | 181 | 290 | 226 | 1,295 | 2,504 | 6,232 | 12,444 |
| Net Profit | 103 | 322 | 168 | 1,058 | 1,696 | 4,599 | 9,244 |
| EPS | 1.55 | 4.80 | 2.52 | 14.20 | 22.15 | 58.13 | 116.84 |
| Consensus EPS | - | - | - | - | 21.12 | 34.43 | 44.45 |
| PER (X) | 836.5 | 270.9 | 515.8 | 91.6 | 58.7 | 22.4 | 11.1 |
| PB (X) | 49.8 | 43.7 | 42.3 | 26.2 | 21.0 | 12.3 | 7.0 |
| Dividend Yield (%) | 0.1 | 0.2 | 0.2 | 0.7 | 1.0 | 2.7 | 5.4 |
| ROE (%) | 6.0 | 17.2 | 8.3 | 36.7 | 36.3 | 55.9 | 62.8 |

Source: Company, Aletheia/TAG

## Introduction of EZconn and optical fiber cable

EZconn is a global communications-technology manufacturer specializing in RF, optical, and broadband connectivity solutions for telecom, satellite, and consumer networks. The company provides a wide portfolio of components—including RF coaxial connectors, precision adaptors, jumpers, surge arrestors, filters, amplifiers, and dipole antennas—serving both low- and high-frequency application.

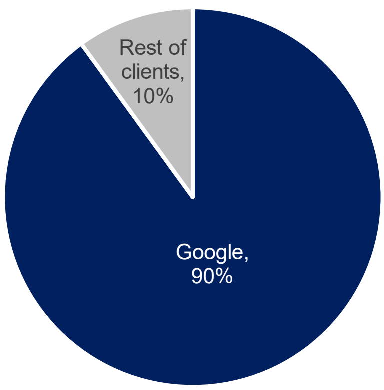
**FIGURE 1: FULL PRODUCT LINE FOR EZCONN**




Source: Company, Aletheia/TAG

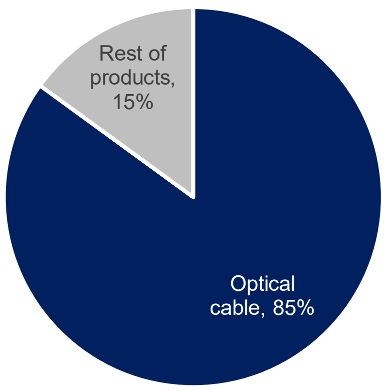
In terms of sales mix, optical cable related products (including optical connector) contribute 85-90% of sales, mainly driven by Google; other components contribute 10-15% of sales. In terms of client mix, we believe Google contributes as much as 90% of EZconn's sales. EZconn supplies its optical cable related products, including Torpedo cable and patch panel, for Google's connectivity needs within its datacenters, including TPU Superpod.

**FIGURE 2: CLIENT MIX ESTIMATE FOR EZCONN**




Source: Aletheia Capital, TAG

**FIGURE 3: PRODUCT MIX ESTIMATE FOR EZCONN**




Source: Aletheia Capital, TAG

EZconn has collaborated with Google since 2021, with volume shipment beginning in 2022. After two years of steady cooperation, Google materially increased its reliance on EZconn for optical cable products starting from 2024. This deeper engagement became a major growth catalyst, driving EZconn's optical-cable revenue to increase 145% year over year in 2024 and a further 70% YoY in 2025. We forecast EZconn's sales to grow 79%/80% YoY in 2026/2027.

### Highly customized products; high manufacturing yield is a major challenge

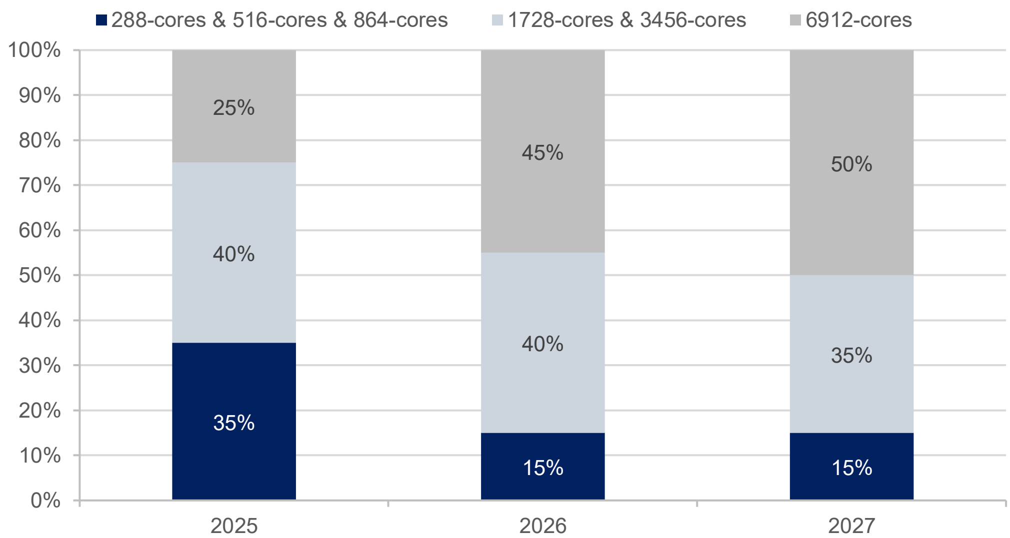
Although optical-cable assembly is not a technically complex product but achieving high manufacturing yield is a major challenge. Fiberoptic cables are highly customized, with a wide variety of specifications, and production still relies heavily on manual processes. As a result, manufacturers must operate a robust and well-disciplined production system; this is something that typically requires years of accumulated experience to master. In addition, customers must be willing to collaborate closely and share detailed specifications; only through this cooperation can optical cable suppliers gain the manufacturing experience needed to consistently deliver high-quality products.

The challenge becomes even greater with ultra-high-density cables such as 6,912-core Torpedo bundles (see more below). In these formats, a single defective core renders the entire assembly a failed unit subject to return. Although manufacturers conduct testing before shipment, the final yield is only confirmed once the customer connects every fiber to the switch system. If a customer discovers a faulty core after plugging in all 6,912 fibers, they must disconnect the entire bundle and return the product—an extremely labor-intensive and time-consuming process. This is why EZconn's consistently high yield and stable quality performance are critical advantages. These will remain key factors supporting recurring orders in the future.

## Growth Driver # 1: 800Gbps switch demand

For optical-cable products, classification typically depends on the number of fiber cores contained within a single high-density cable bundle ("Torpedo"), such as 288, 576, 864, 1,728, 3,456, and 6,912 cores. Higher-density Torpedo cables are substantially more complex to manufacture, command a pricing premium, and deliver structurally higher gross margins for EZconn.

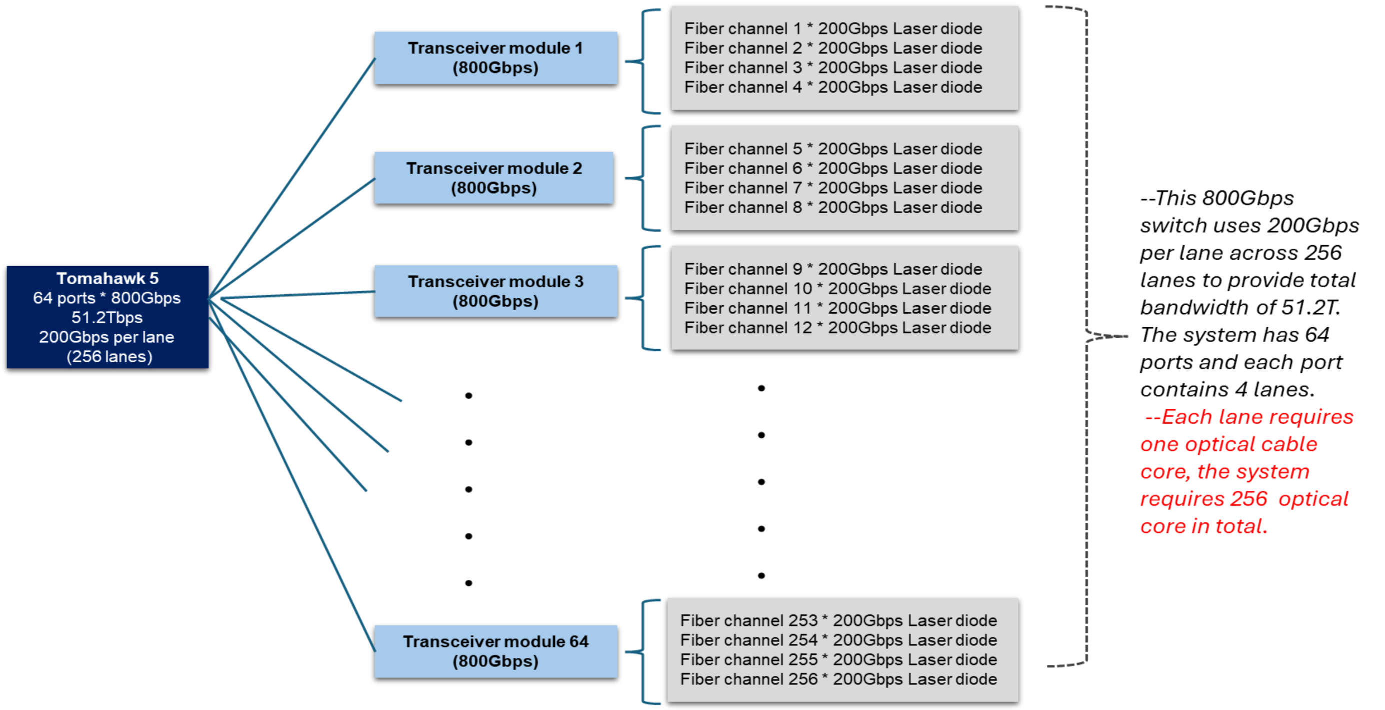
**FIGURE 4: ESTIMATE OF OPTICAL FIBER CABLE SALES MIX IN CORE NUMBER**




Source: Aletheia/TAG

The transition from 400 Gbps to 800 Gbps switches will accelerate demand for ultra-high-density formats—particularly the 1,728, 3,456, and 6,912-core Torpedo cables—because 800 Gbps architectures support roughly 2x the lane count of 400 Gbps systems. In 400 Gbps switches, the mainstream configuration is 128 lanes, while 800 Gbps systems scale to 256 lanes to deliver 51.2 Tbps of system bandwidth (see Fig. 5). Since each lane requires a dedicated optical-fiber core, this doubling of lane counts directly increases total optical-cable consumption and drives a structural shift toward higher-density Torpedo cable bundles.

**FIGURE 5: TRANSCEIVER MODULE STRUCTURE FOR 800GBPS SWITCH**




Source: Aletheia / TAG

**FIGURE 6: NETWORKING SPECIFICATION IN NVDIA GPU AND ASIC**

| nVidia platform | Switch system | Ports | Total bandwidth | Transceiver speed | Serdes | ToR switch/Rack | Remark |
|---|---|---|---|---|---|---|---|
| GB200 | 400G | 64*4 | 25,600 | 400Gbps | 100G | 2~3 | |
| GB300 | 800G | 64*4 | 51,200 | 800Gbps | 100G/200G | 2~3 | |
| Rubin | 800G | 128*4 | 102,400 | 1.6Tbps | 200G | 3 | *One Tx module connects with two ports, each 800Gbps |
| **Google: TPU** | **Switch system** | **Ports*lane** | **Total bandwidth** | **Transceiver speed** | **Serdes** | **ToR switch/Rack** | **Remark** |
| Viperfish | 400G | 32*4 | 12.8T | 400Gbps | 100G | 1 | |
| Ghostfish | 800G | 64*4 | 51.2T | 800Gbps | 100G | 1 | |
| Sunfish | 800G | 64*4 | 51.2T | 800Gbps | 200G | 1 | |
| Zebrafish | 800G | 64*4 | 51.2T | 800Gbps | 200G | 1 | |
| Humufish | 1.6T | 64*8 | 102.4T | 1.6Tbps | 200G or 300G | 2~4 | |
| **Amazon: Trainium** | **Switch system** | **Ports** | **Total bandwidth** | **Transceiver speed** | **Serdes** | **ToR switch/Rack** | **Remark** |
| Trainium 2 | 400G | 32*4 | 12.8T | 400Gbps | 100G | 1 | |
| Trainium 3 | 800G | 64*4 | 51/2T | 800Gbps | 200G | 1 | |

Source: Aletheia Capital, TAG

## Growth Driver # 2: TPU demand and rack bandwidth expansion

The Ironwood rack introduces significantly enhanced networking connectivity, enabling a POD scale-up to 9,216 TPUs across 144 racks—up from 8,960 TPUs in the TPU v5 generation. Additionally, peak FLOPS per chip will surge to 4,614 TFLOPS, a tenfold increase from the previous 459 TFLOPS.

We estimate the build cost of a single Ironwood rack to be approximately US$1.1–1.2 million; notably, cabling may represent up to 16% of the overall cost (up from 6-8% in the previous generation). This is driven by the demand of advanced scale-up connectivity via ICI and rack connection within a superpod via Ethernet switch and OCS. Although most of in-rack connection comes via copper cable (DAC and AEC), scale-out/among-rack connection typically uses optical cable to enable data transport for longer distances.

We identify that optical cable could be used in two connections within a TPU superpod. One is in Ethernet switch to OCS and another one is OCS-to-OCS. We estimate optical cable demand for ToR Ethernet switch could expand by 5x during 2025-28 and OCS cable could see 2x growth during 2026-28, driven by our optimistic assumption for TPU system production in 2026-2027 (TPU count of 3.6m/6m units).

**FIGURE 7: OPTICAL CABLE DEMAND IN TPU AI SERVER SYSTEM**

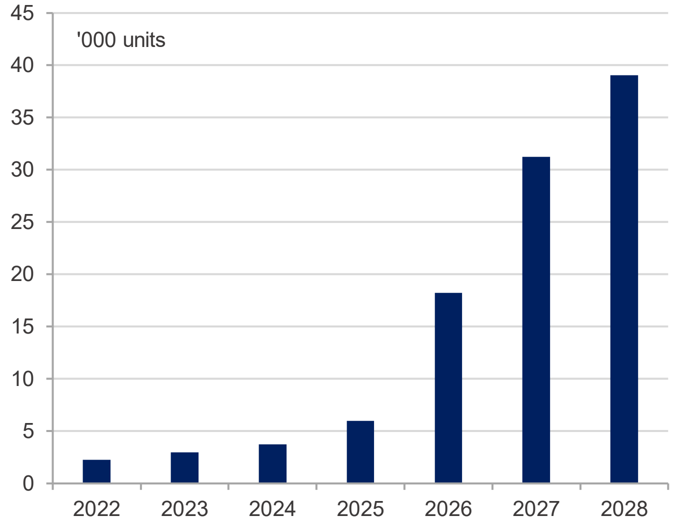
| (k units) | 2024 | 2025 | 2026 | 2027 | 2028 |
|---|---|---|---|---|---|
| **Assumption for TPU** | | | | | |
| System production | 3,100 | 2,700 | 3,600 | 6,000 | 7,000 |
| IC production | 2,500 | 3,300 | 3,300 | 5,200 | 6,800 |
| **Switch demand for TPU system** | | | | | |
| 12.8T switch with 400Gbps/ port | 48 | 42 | - | - | - |
| 51.2T switch with 800Gbps/ port | - | - | 56 | 94 | 109 |
| OCS demand (one OCS every 3-rack) | - | - | 19 | 31 | 36 |
| **Cable demand for TPU system** | | | | | |
| Optical core for 12.8T/51.2T switches @32/64 ports and 4 lanes/ports | 6,200 | 5,400 | 14,400 | 24,000 | 28,000 |
| *YoY chg.* | - | *-13%* | *167%* | *67%* | *17%* |
| Optical cable for OCS (300 cable/OCS) | 0 | 0 | 5,625 | 9,375 | 10,938 |
| *YoY chg.* | - | - | *n.a.* | *67%* | *17%* |

Source: Aletheia/TAG

With the Ethernet switch upgrade to 800Gbps for ToR in Ghostfish TPU, total optical lanes will rise by 2x to 256 lanes. The 800Gbps switch system has 64 ports with 4 lanes per port (assuming 200Gbps per lane) compared to 128 lanes for 400Gbps switch with 32 port and 4 lanes per port (assuming 100Gbps per lane). One optical lane requires one optical cable core.

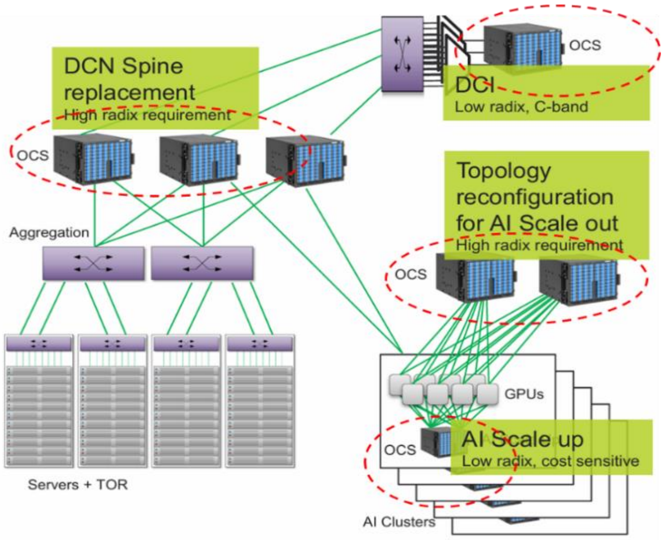
Google has been a leading advocate of OCS technology, deploying it in its spine layer networking as early as 2021–2022. Going forward, we see that Google will start deploying OCS in its front-end networking (scale-out) for upcoming TPU generation, Ironwood/Ghostfish. This will create additional demand for optical cables. We assume 300 cables per OCS.

**FIGURE 8: ESTIMATE OF OCS MARKET SIZE**




Source: Aletheia Capital, TAG

**FIGURE 9: AI DATACENTER WITH OCS**




Source: Aletheia Capital, TAG

Building on these demand upgrades, Google's ramp-up of 11 new datacenter sites over the next 2–3 years will further strengthen momentum for optical-cable demand. Google disclosed that it has broken ground on eleven new datacenter locations in 2024, marking one of the most aggressive expansion phases in the company's history. This construction wave suggests that a meaningful number of additional facilities will begin coming online in 2026.

As these hyperscale sites enter operation, they will require substantial increases in both intra-datacenter and regional interconnect bandwidth. That transition directly translates into stronger demand for high-performance optical cable. Taken together, Google's expansion pipeline and the accelerating AI workload curve position optical connectivity as a critical new driver of optical-cable demand through 2026–28.

FIGURE 10: RACK STRUCTURE FOR GOOGLE'S IRONWOOD (GHOSTFISH) RACK

| Ironwood rack structure with ASP (USD) | | | | Cost dist. |
|---|---|---|---|---|
| OCS switch (4 rack per OCS) | | | $18,000 | 2% |
| 51.2Tbps Ethernet switch (TH5) -64 ports for 800G | | | $13,000 | 1% |
| Monitoring tray (CPU-based) | | | $10,000 | 1% |
| Compute tray 1 | $40,000 | Compute tray 9 | $40,000 | 62% |
| Host tray 1 | $3,500 | Host tray 9 | $3,500 | |
| Compute tray 2 | $40,000 | Compute tray 10 | $40,000 | |
| Host tray 2 | $3,500 | Host tray 10 | $3,500 | |
| Compute tray 3 | $40,000 | Compute tray 11 | $40,000 | |
| Host tray 3 | $3,500 | Host tray 11 | $3,500 | |
| Compute tray 4 | $40,000 | Compute tray 12 | $40,000 | |
| Host tray 4 | $3,500 | Host tray 12 | $3,500 | |
| Compute tray 5 | $40,000 | Compute tray 13 | $40,000 | |
| Host tray 5 | $3,500 | Host tray 13 | $3,500 | |
| Compute tray 6 | $40,000 | Compute tray 14 | $40,000 | |
| Host tray 6 | $3,500 | Host tray 14 | $3,500 | |
| Compute tray 7 | $40,000 | Compute tray 15 | $40,000 | |
| Host tray 7 | $3,500 | Host tray 15 | $3,500 | |
| Compute tray 8 | $40,000 | Compute tray 16 | $40,000 | |
| Host tray 8 | $3,500 | Host tray 16 | $3,500 | |
| Battery shelves | $1,200 | Battery shelves | $1,200 | 0.2% |
| Battery shelves | $1,200 | Battery shelves | $1,200 | 0.2% |
| **Other supporting component** | | Liquid cooling | $74,000 | 7% |
| | | CDU | $10,000 | 1% |
| | | Power and others | $100,000 | 9% |
| | | Cables | $185,200 | 16% |
| | | Rack casing | $4,000 | 0.4% |
| | | Casing | $1,000 | 0.1% |
| | | Fan in rack level | $5,000 | 0.4% |
| | | Fan in tray level | $4,000 | 0.4% |
| | | **Total:** | **$1,125,000** | **100%** |

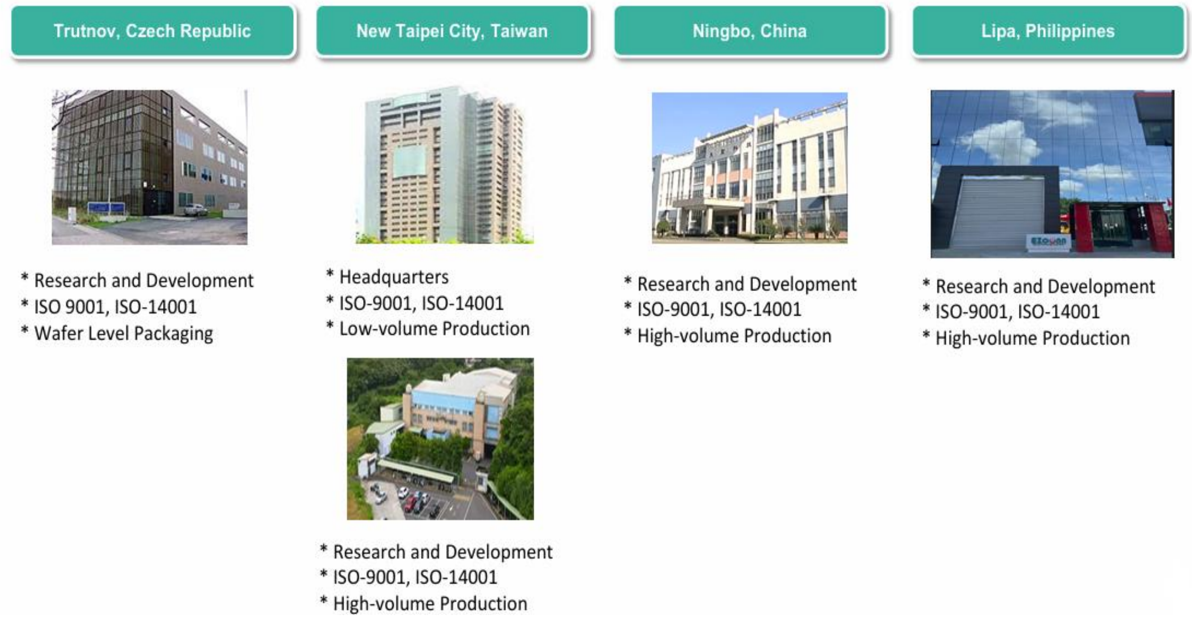
Source: Aletheia/TAG

## Capacity expansion

To meet the accelerating demand driven by Google's rapid expansion of TPU-based AI server deployments and as AI platforms migrate toward 800 Gbps switches during 2026-28, the company expanded its Philippines production site in 2025. It is scheduled to ramp output in 2Q26. The company also plans to further increase capacity in China. Notably, its Taiwan facilities can add incremental capacity within 2–3 months, providing strong operational flexibility to scale as needed.

Collectively, the company is on track to expand total capacity by more than 30% in 2026. In our view, additional upside remains, as the company could further increase effective capacity by moving from the current two-shift model to a three-shift operation across most factories.

**FIGURE 11: DETAIL OF EZCONN'S PRODUCTION SITE**




Source: Company, Aletheia/TAG

## Earnings growth and valuation

Our 2025–27 earnings forecast for EZconn points to a steep acceleration in both revenue and profitability. We forecast sales to rise from NT$10.5bn in 2025 to NT$33.9bn in 2027 as demand for high-speed interconnects scales rapidly. Google's deployment of TPU-based AI servers and the shift to 800Gbps switching materially expands EZconn's optical cable opportunity. These upgrades significantly increase optical content per rack, directly boosting EZconn's growth trajectory. Although gross margin could see more limited upside, operating leverage will boost operating profit to grow by 5x from NT$2.5bn in 2025 to NT$12.4bn in 2027. We forecast net profit to rise from NT$1.7bn to NT$9.2bn over the same period with EPS rise by 5x from NT$22 in 2025 to NT$116 in 2027.

Our EPS forecast fully incorporates the expected share count expansion from both the convertible bond issuance and the planned share swap with IET. Accordingly, we use 79 mn shares in our model to reflect the new CB issuance, which adds 1.8mn shares (or 2% dilution). We also factor in the company's scheduled share swap with IET in April 2026, which will add another 1.36mn shares (or 1.8% dilution). The company's ROE should see a substantial increase to 63% in 2027 from 8% in 2023 or 36% in 2025.

**FIGURE 12: EARNINGS MODEL FOR EZCONN**

| (NT$m) | 1Q25 | 2Q25 | 3Q25 | 4Q25E | 1Q26E | 2Q26E | 3Q26E | 4Q26E | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Sales | 2,105 | 2,909 | 2,514 | 3,002 | 3,109 | 4,697 | 5,249 | 5,777 | 2,617 | 6,410 | 10,530 | 18,832 | 33,875 |
| Gross profit | 1,040 | 1,794 | 1,518 | 1,821 | 1,841 | 2,830 | 3,173 | 3,500 | 930 | 3,565 | 6,173 | 11,344 | 20,554 |
| Opex | 658 | 1,000 | 963 | 1,048 | 1,133 | 1,238 | 1,323 | 1,418 | 704 | 2,271 | 3,669 | 5,112 | 8,110 |
| Operating profit | 382 | 794 | 555 | 773 | 708 | 1,592 | 1,850 | 2,082 | 226 | 1,295 | 2,504 | 6,232 | 12,444 |
| Non-OP | 59 | -497 | 141 | 58 | -2 | 0 | 2 | 3 | 22 | 128 | -239 | 5 | -37 |
| Pretax profit | 441 | 297 | 696 | 832 | 707 | 1,593 | 1,852 | 2,085 | 248 | 1,422 | 2,266 | 6,237 | 12,407 |
| Tax expense | 119 | 101 | 167 | 183 | 191 | 544 | 444 | 458 | 80 | 365 | 569 | 1,638 | 3,162 |
| Net profit | 322 | 196 | 530 | 649 | 515 | 1,048 | 1,409 | 1,627 | 168 | 1,058 | 1,696 | 4,599 | 9,244 |
| EPS (NT$) | 4.23 | 2.54 | 6.76 | 8.62 | 6.51 | 13.25 | 17.81 | 20.56 | 2.52 | 14.20 | 22.15 | 58.13 | 116.84 |
| **Growth** | | | | | | | | | | | | | |
| Sales QoQ | -15.8% | 38.2% | -13.6% | 19.4% | 3.6% | 51.1% | 11.8% | 10.1% | - | - | - | - | - |
| Sales YoY | 154.7% | 101.7% | 53.2% | 20.0% | 47.7% | 61.5% | 108.8% | 92.4% | -11.0% | 144.9% | 64.3% | 78.8% | 79.9% |
| EPS QoQ | -25.5% | -39.1% | 170.6% | 22.5% | -20.6% | 103.4% | 34.4% | 15.5% | - | - | - | - | - |
| EPS YoY | 170.5% | -20.9% | 104.4% | 50.2% | 60.2% | 435.4% | 165.9% | 150.6% | -47.5% | 463.3% | 56.1% | 162.4% | 101.0% |
| **Margin** | | | | | | | | | | | | | |
| Gross margin | 49.4% | 61.7% | 60.4% | 60.7% | 59.2% | 60.3% | 60.4% | 60.6% | 35.5% | 55.6% | 58.6% | 60.2% | 60.7% |
| Opex | 31.3% | 34.4% | 38.3% | 34.9% | 36.4% | 26.4% | 25.2% | 24.5% | 26.9% | 35.4% | 34.8% | 27.1% | 23.9% |
| OP margin | 18.2% | 27.3% | 22.1% | 25.8% | 22.8% | 33.9% | 35.2% | 36.0% | 8.6% | 20.2% | 23.8% | 33.1% | 36.7% |
| Non-OP | 2.8% | -17.1% | 5.6% | 1.9% | -0.1% | 0.0% | 0.0% | 0.1% | 0.8% | 2.0% | -2.3% | 0.0% | -0.1% |
| Tax rate | 27.0% | 34.0% | 23.9% | 22.0% | 27.1% | 34.2% | 23.9% | 22.0% | 32.2% | 25.6% | 25.1% | 26.3% | 25.5% |
| Net margin | 15.3% | 6.7% | 21.1% | 21.6% | 16.6% | 22.3% | 26.8% | 28.2% | 6.4% | 16.5% | 16.1% | 24.4% | 27.3% |

Source: EZCONN, Aletheia/TAG

The company's strong position with Google and the foreseeable strong demand from Google's TPU AI server installation are the two key reasons for our positive view. We initiate coverage with a BUY rating and set our target price at NT$3,000, using 25x FY27PE. Our target price is slightly higher than its FY27 fair value of NT$2,816 to reflect strong sales growth. We believe the company should trade at a lower PE than other Google plays and other networking companies such as Lumentum at 37x, Elite Material at 30x and Isu at 35x, as we discount its single client risk (Google accounts for 85-90% of EZconn's sales).

**FIGURE 13: ESTIMATE OF FAIR VALUE FOR EZCONN**

| Fair value - 2027 | | 2816 |
|---|---|---|
| Beta | | 1.10 |
| Cost of equity | % | 7.0 |
| 2026 ROE | % | 62.8 |
| Terminal growth rate | % | 3.0 |
| ROE-g | % | 59.8 |
| COE-g | % | 4.0 |
| Justified P/BV ratio | x | 15.1 |
| FY26 BVPS | TWD | 185.9 |

Source: Aletheia/TAG

**FIGURE 14: GOOGLE'S TPU SUPPLY CHAIN PEER VALUATION**

| | Ticker | FYE | Market Cap. | PER (X) | | EPS Growth (%) | | EV/EBITDA (X) | | PBR (X) | | ROE (%) | | Total Return (%) | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Jan 25, 2026 | | | (US$ b) | FY1 | FY2 | FY1 | FY2 | FY1 | FY2 | FY1 | FY2 | FY1 | FY2 | FY1 | FY2 |
| **EZconn** | 6442 TT | Dec | 3.4 | 23.3 | 11.6 | 162 | 101 | 16.8 | 8.4 | 12.8 | 7.3 | 55.9 | 62.8 | 2.6 | 5.2 |
| **Broadcom** | AVGO US | Oct | 1,517 | 31.7 | 20.3 | 48.2 | 56.1 | 22.4 | 15.3 | 19.3 | 14.2 | 64.0 | 80.0 | 1.4 | 1.8 |
| **MediaTek** | 2454 TT | Dec | 82.8 | 27.1 | 14.0 | (9.1) | 94.0 | 20.9 | 11.1 | 5.7 | 4.6 | 21.1 | 36.2 | 4.1 | 3.8 |
| **ISU Petasys** | 007660 K. | Dec | 6.0 | 33.5 | 15.3 | 45.9 | 119 | 21.4 | 10.2 | 11.8 | 6.7 | 42.2 | 56.1 | 0.1 | 0.3 |
| **Elite Material** | 2383 TT | Dec | 20.4 | 29.0 | 22.5 | 50.6 | 28.7 | 21.0 | 16.3 | 11.1 | 8.8 | 43.2 | 43.6 | 2.1 | 2.7 |
| **Lumentum** | LITE US | Jun | 24.0 | 34.6 | 25.3 | 63.3 | 36.7 | 19.8 | 14.8 | 11.2 | 8.5 | 42.8 | 38.2 | n.a. | n.a. |
| **Celestica** | CLS US | Dec | 34.9 | 31.6 | 18.8 | 62.7 | 67.7 | 21.2 | 13.5 | 10.3 | 7.0 | 37.5 | 44.4 | n.a. | n.a. |

Source: Aletheia/TAG

# Financial Statements

**INCOME STATEMENT**

| Dec 31 (TWD mn) | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|
| Revenue | 2,940 | 2,617 | 6,410 | 10,530 | 18,832 | 33,875 |
| COGS | -2,005 | -1,687 | -2,845 | -4,357 | -7,488 | -13,321 |
| Gross profit | 935 | 930 | 3,565 | 6,173 | 11,344 | 20,554 |
| Operating expense | -645 | -704 | -2,271 | -3,669 | -5,112 | -8,110 |
| EBITDA | 518 | 326 | 1,483 | 2,322 | 6,296 | 12,491 |
| Operating profit | 290 | 226 | 1,295 | 2,504 | 6,232 | 12,444 |
| Interest expense (income) | -3 | 12 | 21 | 45 | 52 | 70 |
| Other expense (income) | 140 | 9 | 107 | -283 | -47 | -107 |
| Profit before tax | 426 | 248 | 1,422 | 2,266 | 6,237 | 12,407 |
| Tax | -105 | -80 | -367 | -571 | -1,639 | -3,164 |
| Net profit (parent) | 322 | 168 | 1,058 | 1,696 | 4,599 | 9,244 |
| EPS NT$ | 4.8 | 2.5 | 14.2 | 22.2 | 58.1 | 116.8 |
| | | | | | | |
| Change | | | | | | |
| Revenue | 4.5% | -11.0% | 144.9% | 64.3% | 78.8% | 79.9% |
| Gross profit | 55.5% | -0.5% | 283.2% | 73.1% | 83.8% | 81.2% |
| Operating profit | 60.3% | -22.1% | 473.0% | 93.4% | 148.9% | 99.7% |
| Net profit | 211.1% | -47.8% | 529.4% | 60.4% | 171.1% | 101.0% |
| EPS | 208.7% | -47.5% | 463.3% | 56.1% | 162.4% | 101.0% |

**BALANCE SHEET**

| Dec 31 (TWD mn) | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|
| Cash/ST investment | 1,017 | 1,095 | 2,774 | 2,265 | 4,726 | 6,545 |
| Inventory | 798 | 602 | 1,191 | 1,743 | 2,995 | 5,328 |
| Receivable | 626 | 446 | 995 | 1,671 | 3,139 | 5,646 |
| Current assets | 2,489 | 2,209 | 5,047 | 5,766 | 10,947 | 17,605 |
| Fixed assets | 703 | 590 | 1,262 | 1,452 | 1,801 | 2,240 |
| Goodwill & intangibles | 10 | 8 | 20 | 30 | 30 | 30 |
| Other LT assets | 208 | 541 | 702 | 1,041 | 2,974 | 1,541 |
| LT assets | 921 | 1,139 | 1,985 | 2,523 | 4,805 | 3,811 |
| Total assets | 3,410 | 3,348 | 7,031 | 8,289 | 15,751 | 21,417 |
| | | | | | | |
| Payable | 228 | 187 | 297 | 455 | 782 | 1,391 |
| Other liability | 826 | 847 | 1,883 | 1,883 | 1,915 | 2,115 |
| Current liabilities | 1,053 | 1,034 | 2,180 | 2,338 | 2,697 | 3,506 |
| LT liabilities | 365 | 263 | 1,153 | 1,285 | 4,828 | 3,200 |
| Total liabilities | 1,418 | 1,297 | 3,333 | 3,623 | 7,524 | 6,706 |
| Common shares | 693 | 663 | 760 | 760 | 791 | 791 |
| Retained earnings | 921 | 850 | 1,784 | 2,668 | 5,789 | 11,348 |
| Equity | 1,992 | 2,051 | 3,698 | 4,666 | 8,227 | 14,711 |
| Liability&Equity | 3,410 | 3,348 | 7,031 | 8,289 | 15,751 | 21,417 |

**CASH FLOW**

| Dec 31 (TWD mn) | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|
| Net profit | 322 | 168 | 1,055 | 1,695 | 4,598 | 9,243 |
| Dep. & amortization | 88 | 91 | 82 | 101 | 111 | 154 |
| Chg in WC | -31 | 345 | 324 | -1,071 | -2,361 | -4,031 |
| Others | -9 | -34 | 109 | 100 | 100 | 100 |
| OPN cash flow | 370 | 570 | 1,570 | 825 | 2,447 | 5,466 |
| Capex | -66 | -22 | -334 | -100 | -250 | -300 |
| Chg in investment | -41 | -83 | -335 | -200 | -200 | -200 |
| Others | 0 | -276 | -77 | -400 | -400 | -400 |
| Investing CF | -106 | -381 | -746 | -700 | -850 | -900 |
| Chg in debt | 46 | -27 | 442 | 0 | 1,873 | 0 |
| Equity raised | 0 | -30 | 97 | 0 | 31 | 0 |
| Dividend paid | -80 | -139 | -159 | -641 | -1,018 | -2,760 |
| Others | 0 | 30 | 441 | 0 | -31 | 0 |
| Financing CF | -34 | -166 | 822 | -641 | 855 | -2,760 |
| FX & other adj | 26 | -5 | 27 | 7 | 9 | 13 |
| Chg in cash | 282 | 11 | 1,701 | -509 | 2,461 | 1,819 |
| Beginning cash | 727 | 984 | 1,000 | 2,674 | 2,165 | 4,625 |
| End cash | 984 | 1,000 | 2,674 | 2,165 | 4,625 | 6,444 |
| FCF | 316 | 573 | 1,112 | 591 | 2,059 | 5,014 |

**RATIO & PER SHARE DATA**

| Dec 31 (TWD mn) | 2022 | 2023 | 2024 | 2025E | 2026E | 2027E |
|---|---|---|---|---|---|---|
| Gross margin (%) | 31.8 | 35.5 | 55.6 | 58.6 | 60.2 | 60.7 |
| EBITDA margin (%) | 17.6 | 12.4 | 23.1 | 22.0 | 33.4 | 36.9 |
| Op. Profit margin (%) | 9.9 | 8.6 | 20.2 | 23.8 | 33.1 | 36.7 |
| Net Profit margin (%) | 10.9 | 6.4 | 16.5 | 16.1 | 24.4 | 27.3 |
| ROE (%) | 17.2 | 8.3 | 36.7 | 36.3 | 55.9 | 62.8 |
| ROA (%) | 9.9 | 5.0 | 20.3 | 22.1 | 38.3 | 49.7 |
| Gross gearing (%) | 41.6 | 38.7 | 47.4 | 43.7 | 47.8 | 31.3 |
| Net gearing (%) | (18.8) | (22.3) | (43.7) | (23.7) | (20.6) | (23.9) |
| Asset turn (x) | 0.9 | 0.8 | 1.2 | 1.4 | 1.6 | 1.8 |
| Leverage (x) | 1.7 | 1.7 | 1.8 | 1.8 | 1.9 | 1.6 |
| Payable days | 51 | 45 | 31 | 31 | 30 | 30 |
| Receivable days | 79 | 75 | 41 | 46 | 47 | 47 |
| Inventory days | 139 | 152 | 115 | 123 | 115 | 114 |
| EPS | 4.8 | 2.5 | 14.2 | 22.2 | 58.1 | 116.8 |
| BVPS | 29.7 | 30.8 | 49.6 | 62.0 | 106.1 | 185.9 |
| Net cash per share | 5.6 | 6.9 | 21.7 | 14.7 | 21.9 | 44.4 |
| SPS | 43.9 | 39.3 | 86.1 | 139.9 | 242.8 | 428.2 |
| FCFPS | 4.7 | 8.6 | 14.9 | 7.9 | 26.5 | 63.4 |
| DPS | 2.1 | 2.1 | 8.6 | 13.3 | 34.9 | 70.1 |

Source: Company, Aletheia Capital/TAG

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